NVIDIA Corporation Annual Report 2025

Risk Factors

The company faces several significant risks that could materially impact our business, financial condition, and results of operations. These include but are not limited to:

1. Market Risk - The semiconductor industry is highly cyclical and subject to rapid technological change. Our revenue depends on the growth of AI, gaming, and data center markets.

2. Competitive Risk - We face intense competition from AMD, Intel, Qualcomm, and emerging AI chip startups. Failure to maintain our technological advantage could significantly impact market share.

3. Supply Chain Risk - Our dependence on TSMC for manufacturing exposes us to geopolitical risks in the Taiwan Strait region and potential supply disruptions.

4. Regulatory Risk - Export controls and trade restrictions, particularly regarding China, could limit our addressable market and revenue.

5. Financial Risk - Our high valuation relative to earnings creates significant downside risk if growth expectations are not met. Revenue concentration in data center segment at 80% creates vulnerability.

Financial Statements

Revenue: NVIDIA reported total revenue of $130.5 billion for fiscal year 2025, representing a 114% increase year-over-year.

Data Center revenue reached $115.2 billion, driven by strong demand for AI training and inference workloads. Gaming revenue was $10.4 billion.

Net income was $72.9 billion, with a profit margin of 55.8%.

Operating income was $81.5 billion, with an operating margin of 62.4%.

Total assets were $112.8 billion with total liabilities of $44.2 billion.

Free cash flow was $64.1 billion for fiscal year 2025.

The company returned approximately $12.5 billion to shareholders through dividends and share repurchases during the fiscal year.

Management Discussion and Analysis

Our accelerated computing platform is driving the AI revolution. We experienced unprecedented demand for our GPU computing solutions across data centers worldwide.

Key growth drivers include:

- Generative AI training and inference workloads
- Enterprise AI adoption across industries
- Sovereign AI initiatives by governments
- Automotive and robotics applications

We expect continued strong growth driven by AI infrastructure spending, though we anticipate the rate of growth may normalize as the market matures.

Capital expenditure was approximately $8.2 billion, primarily for R&D facilities and data center capacity expansion.